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Commissioner,

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ISSUES IN INDIAN ECONOMY

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Indian economy is the Seventh largest economy of the world. Being one of the top listed countries. In terms of industrialization and economic growth, India holds a robust position with an average growth rate of 7%. Indian economy is fastest growing economy in the world. But it has met many problems

1. Large Population
2. Inequality and poverty
3. Increasing Prices of Essential Goods
4. Weak Infrastructure
5. Inadequate Employment Generation
6. Outdated technology
7. Low per capita income

POVERTY AND INEQUALITY

The World Bank (1990) has defined poverty as "the inability to attain a minimal standard of living".

Types of poverty

1. Absolute poverty

When people do not have adequate food, clothing and shelter, we say they are in absolute poverty.

2. Relative poverty

It refers to differences in income among different classes of people or people within the same group or among people of different countries. If we divide the population of a country into different class intervals based on income and if we compare say, the top 20 percent of population with the bottom 20 percent of population.

3. Temporary or chronic poverty

In countries like India, when there is poor rainfall, the crops fail and the farmers temporarily enter into a poverty sample. But when they are poor for long, then we call it chronic or structural poverty. For example, when agriculturists in many poor

countries are dependent upon rain and when agriculture is marked by low productivity, we say farmers are in chronic poverty.

Primary Poverty

Primary poverty refers to "families whose total earnings are insufficient to obtain the minimum necessities for the maintenance of merely physical efficiency".

Secondary Poverty

Secondary poverty refers to a condition in which earnings would be sufficient for the maintenance for merely physical efficiency were it not that some portion of it is absorbed by other expenditure, either useful or wasteful such as drink, gambling and inefficient housekeeping.

Urban Poverty

On the basis of recommended nutritional intake, persons consuming less than 2,100 calories per day in urban areas are treated as they are under urban poverty. When people in urban areas don't find their work anymore gainful, they leave their villages in the hope of getting some work in urban areas. But once they reach the big cities, they find it difficult to meet their ends, leading to the situation of poverty. Even the well-developed cities are not immune to poverty. Slums in cities like Mumbai is an example

Rural poverty

On the basis of recommended nutritional intake, persons consuming less than 2,400 calories per day in rural areas are treated as they are under rural poverty.

Poverty Line

Poverty Line refers to the minimum income, consumption or more generally access to goods and services below which individuals are considered to be poor. The poverty line is the expenditure level at which a minimum calorie intake and indispensable non-food purchases are assured.

Causes of poverty:

1. Rapidly Rising Population
2. Lack of Non-farm Employment
3. Lack of Public Sector Investment
4. Inflation
5. Low Productivity in Agriculture
6. Unequal Benefit of Growth
7. Low Rate of Economic Growth

Poverty Estimation in India

1. Earliest estimation of poverty in India was done by Dadabhai Naoroji in his book of POVERTY UN BRITISH RULE OF INDIA published in 1905.
2. National Planning Committee 1938, Congress president Subhash Chandra Bose set up the National Planning Committee (NPC) with Jawaharlal Nehru as a chairman The Committee regarded the irreducible minimum income between ₹15 to ₹25 per capita per month at Pre-war prices. However, this was also not tagged something as a poverty line of the country.
3. **First Planning Commission working group**

   The concept of the poverty line was first introduced by a working group of the Planning Commission in 1962 and Recommended the income minimum for each household of five persons should not be less than ₹100 per month on rural and ₹125 for urban at 1960-1961 prices. The estimates also excluded the expenditure on health and education.
4. **Dr.V.M. Dandekar and Rath (1968-1969)**

   Fixed desired minimum level of per capita-nutrition 2250 calories/day. In rural money required to purchase this amount of nutrition ₹180/year. Urban ₹270.
5. **Y.K.Alagh Committee (1979)**

   Till 1979 the approach of estimation of poverty was traditional i.e. lack of income. It was later decided to measure poverty precisely as starvation i.e. in terms of how much people eat. This approach was first of all adopted by Y.K.Alagh .the people consuming less than 2400 calories in rural and less than 2100 calories in urban are poor. state can take care of health and education of the people.So even defined as first poverty line in India.
6. **Lakdawala Committee (1989)**

   Submitted report in 1993.Daily consumption fixed by the committee in rural 2400 calories per day and urban 2100 per day. Later total people were under BPL in 1993-94 was 36% and Total people were BPL in 2004-2005 was 27.5%.

Reserve bank of India report 2012

1. State having least poverty is goa-5.09%
2. Union territory having least poverty-Andaman and Nicobar-1%
3. State having highest poverty is CHATTISGARH 39.93%

4. Union territory having highest poverty DADRA and NAGAR HAVELI-39.31%

WORLD BANK REPORT 2015

In 2011 India had 12.4% people below poverty line.

NITI Aayog's task force on elimination of poverty

Under the chairmanship of Panagariya, the current poverty estimates are based on the methodology recommended by the expert group under the chairmanship of Suresh D Tendulkar in 2009. According to the Tendulkar committee methodology, those whose daily consumption of goods and services exceeds ₹33.33 in cities and ₹27.20 in villages are not poor. As per the numbers, only 22 per cent of the people can be classified as poor in the country. While rural areas need to be developed sustainability, migration shouldn't be treated negatively.

Global MPI 2018 Report

It was prepared by the United Nations Development Programme (UNDP) and the Oxford Poverty and Human Development Initiative. The report, covering 105 countries, dedicates a chapter to India because of this remarkable progress. However, India still had 364 million poor in 2015-16, the largest for any country, although it is down from 635 million in 2005-06.

Remedial Measures to Poverty

1. Population Control
2. Increase in Employment
3. Equal distribution of Income
4. Fulfilment of minimum needs of the Poor
5. Increase in the productivity of the Poor
6. Changes in techniques of Production
7. Stability in Price Level
8. Development of Agriculture

INEQUALITY

Inequality as "the state of not being equal, especially in status, rights and opportunities". Inequality can be broadly classified in to:

Economic inequality:

Economic inequality is the unequal distribution of income and opportunity between individuals or different groups in society.

Social inequality:

1. It occurs when resources in a given society are distributed unevenly based on norms of a society that creates specific patterns along lines of socially defined categories e.g. religion, kinship, prestige, race, caste, ethnicity, gender etc. have different access to resources of power, prestige and wealth depending on the norms of a society.
2. Both these categories are deeply intertwined and inequality of one type affects the inequality in another e.g. Social Inequality due to gender have large impact on income of women. In patriarchal societies large gender wage gap tends to exist.

Dimensions of Inequality in India

In India, following are distinctive forms of social inequality:

Gender

Gender inequality refers to unequal treatment or perceptions of individuals wholly or partly due to their gender. It arises from differences in socially constructed gender. *Global gender gap report by the world economic forum since 2006*. Global gender gap index is a part of this which measures gender equality *across four pillars– they are economic opportunity, political empowerment, educational attainment and health and survival*. India has been ranked at 108.

Caste

Caste is significant factor for determining access to resources like education, income, health valued by individuals.

Religion

Religious identities are significant for an individual's ability to mobilize resources. Religious identities can cause prejudices which may lead to economic exclusion and other forms of discrimination which can impact jobs and livelihood opportunities. While minorities such as Christians, Parsis and Jains have a larger share of

income/consumption than their population share, Muslim and Buddhist populations have significantly lower access to economic resources.

Ethnicity

Tribal communities in India have been identified as ethnic group on the basis of their unique culture, language, dialect, geographical location, customs etc. The National Family Health Survey 2015-16 (NFHS-4) showed that 45.9% of ST population were in the lowest wealth bracket as compared to 26.6% of SC population, 18.3% of OBCs, 9.7% of other castes.

Economic Inequality

The 2019 report by Oxfam, titled "Public good or Private Wealth?" showed that India's top 10% holds 77.4% of the total national wealth, while the top 1% holds 51.53% of the wealth. The bottom 60% population holds only 4.8% of the national wealth. 13.6 crore Indians, who make up the poorest 10% of the country, have continued to remain in debt for the past 15 years. The Gini coefficient of wealth in India in 2017 is at 0.83, which puts India among the countries with highest inequality countries.

Consequences of Inequalities

1. Inequalities tend to **produce social conflict** among the social groups e.g. caste groups like Jaats, Maratha, Patels are demanding reservations but this demand is opposed by caste groups already claiming the benefits of reservations, such clash of interest due to perceived inequality tend to produce violent conflicts between opposing caste groups.
2. Inequalities among ethnic groups have led to various **ethnic movements** demanding separate states or autonomous regions or even outright secession from India. North East has been rocked by numerous such ethnic movement e.g. by Nagas for greater Nagalim etc.
3. Religious inequality tends to generate **feeling of exclusion among religious minority groups.** This reduces their participation in mainstream, in India religious minorities have large population their economic exclusion compromises the GDP growth of nation as whole.

4. Poor development indicators like IMR, MMR, low per capita income, lower education and learning outcomes at schools, high rate of population growth can be traced to existing socio-economic inequalities.

Measures to Deal with Inequalities

Constitutional Provision

Enforcement of Constitutional Guarantee of equality as enshrined in fundamental rights. **Articles 14, 15 and 16** form part of a scheme of the Constitutional Right to Equality. Article 15 and 16 are incidents of guarantees of Equality, and gives effect to Article 14.

Promoting Civil Society

Provide a greater voice to traditionally oppressed and suppressed groups, including by enabling civil society groups like unions and association with in these groups. Scheduled castes and Scheduled tribes should be motivated to become entrepreneurs, schemes like Stand-up India need to be expanded to widen its reach by increasing funding.

Women Empowerment

For gender equality policies like affirmative action by reserving seats in legislatures, increasing reservation at Local self-government both at Urban and village level to 50% in all states, strict implementation of The Equal Remuneration act,1976 to remove wage gap, making education curriculum gender sensitive, raising awareness about women right, changing social norms through schemes like Beti Bachao Beti Padhao etc.

Inclusion of Religious Minorities

Religious minority groups need special attention through representation in government jobs, provision of institutional credit, improvement of their education access, protection of their human rights by empowering National commission for Minority, strengthening rule of law etc.

Progressive Taxes

Additional public resources for public services by progressive taxes on wealthy and by increasing the effective taxation on corporations, more importantly broadening the tax base through better monitoring of financial transactions.

Economic Policies

By ensuring universal access to public funded high-quality services like Public health and education, social security benefits, employment guarantee schemes; inequality can be reduced to great extent.

Employment Generation

The failure to grow manufacturing sectors like Textile, Clothing, automobiles, consumer goods etc. is the important reason of rising inequalities. The Labour-intensive manufacturing has the potential to absorb millions of people who are leaving farming while service sector tends to benefit majorly urban middle class.

POVERTY ALLEVIATION PROGRAMMES AND NEW WELFARE PROGRAMMES FOR RURAL POVERTY

1.TWENTY POINT PROGRAMME:

The Twenty Point Programme was initially launched by Prime Minister Indira Gandhi in 1975 and was subsequently restructured in 1982 and again on 1986 and again on 2006.TPP-2006 has Points for the benefit of the rural and urban people. Its thrust is towards programmes for eradicating poverty and improving the quality of life of the poor and the under-privileged people all over the country. The restructured TPP-2006 contains of 20 Points and 65 monitorable items. The Ministry of Statistics & Programme Implementation, Government of India, is the Nodal Department at the centre.

20 POINTS

The 20 points of the Programme and its 66 items have been carefully designed and selected to achieve the above objectives.

The 20 Point Program Consisted following:

1. Attack on rural poverty
2. Strategy for Rained agriculture
3. Better use of irrigation water
4. Bigger harvest
5. Enforcement of Land Reforms
6. Special Programs for rural labour

7. Clean drinking water
8. Health for all
9. Two child norm
10. Expansion of education
11. Justice for SC / ST
12. Equality for women
13. New Opportunities for women

The programmes/schemes covered under TPP-2006 are as under:

1. Poverty Eradication
2. Power of People
3. Support to Farmers
4. Labour Welfare
5. Food Security
6. Housing for All
7. Clean Drinking Water
8. Health for All
9. Education for All
10. Welfare of Scheduled Castes, Scheduled Tribes, Minorities and OBCs
11. Women Welfare

2.INTEGRATED RURAL DEVELOPMENT PROGRAMME (IRDP)

The Integrated Rural Development Programme (IRDP), which was introduced in 1978-79 and universalized from 2nd October, 1980, aimed at providing assistance to the rural poor in the form of subsidy and bank credit for productive employment opportunities through successive plan periods. On 1st April, 1999, the IRDP and allied programmes were merged into a single programme known as Swarna Jayanti Gram Swarozgar Yojana (SGSY).

3.FOOD FOR WORK PROGRAMME:1977

This programme was introduced in April 1977 as a non-plan scheme. As some surplus food stocks were available with the government, they planned to use it in this employment administration directly, without any help from labour contractors. One special advantage of the Food for Work Programme was its part wage payment in food-

grains at subsidized prices, which assured minimum nutrition to the beneficiaries. The Food for Work Programme was evaluated by the Programme Evaluation Organization of the Planning Commission.

4.TRAINING TO RURAL YOUTH FOR SELF EMPLOYMENT (TRYSEM) – 1979 TRYSEM was launched in 1979 as a separate national scheme for training rural youth for self-employment. To provide rural youth (18-35 years) from families below the poverty line with training and technical skills to enable them to take up self-employment in agriculture, industry, services and business activities. Training is perceived not only in terms of provision of physical skills. But also change in attitude, enhancement of motivation and skills in human relations etc., are also ought to be imparted. TRYSEM became the "self-employment for youth" component of IRDP and was introduced in all the 5000 blocks in the country. DRDA is responsible for the implementation of TRYSEM.

Beneficiaries of TRYSEM

1. Members of the poorest family first
2. Priority should be given to members of SC's and ST's.
3. At least 1/ 3 of candidates should be women.
4. Preference should be given to persons who have completed the
5. 12-month course under the national Adult Education programme

5.NATIONAL RURAL EMPLOYMENT PROGRAMME IN OCTOBER 1980

The NREP was launched in 1980 with a view to significantly increase employment opportunities in rural areas. This was viewed as a major step towards poverty alleviation. The NREP replaced the food for work (FFW) programme.

Objectives

1. Generation of Additional gainful employment for unemployed and under employed persons (Both men and women) in rural areas.
2. Creation of productive community assets for direct and continuing benefits to the poor.
3. Improvement in the overall quality of life in the rural areas.

Two main functions of NREP

1. Creation of a large quantum of man days of work per year for the unemployed and under employed in rural areas.
2. Creation of durable community assets to strengthen infrastructural facilities in rural areas.

Features of NREP

In all works under NREP, preference was given to landless labour. Among landless labour, preference was given to SC's/ST's for employment. Main provisions relating to works under NREP was that it was not permitted to engage contractors. Wages were paid partly in cash and partly in food grain 1-2 kg/day/head**.** DRDA were responsible for the entire works relating to planning, implementation, coordination and monitoring of NREP. NREP was a centrally sponsored programmes with equal sharing of the expenditure by the centre and the status. NREP provide training to the personnel in the implementation of the programmes.

8.MGNREGA-2005

The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) is an employment guarantee act. It was introduced in 2005 through the National Rural Employment Guarantee Act, 2005. In 2010, NREGA renamed as MGNREGA.

Aim: To enhance livelihood security of household in rural areas of India

Objectives:

1. To provide guaranteed 100 days of wage employment per year to each rural household.
2. Creation of durable rural assets
3. Social inclusion of women, SCs and STs
4. Strengthen the Panchayati Raj Institutions.

Coverage:

The Act currently covers all districts with the exception of those that have a 100% urban population.

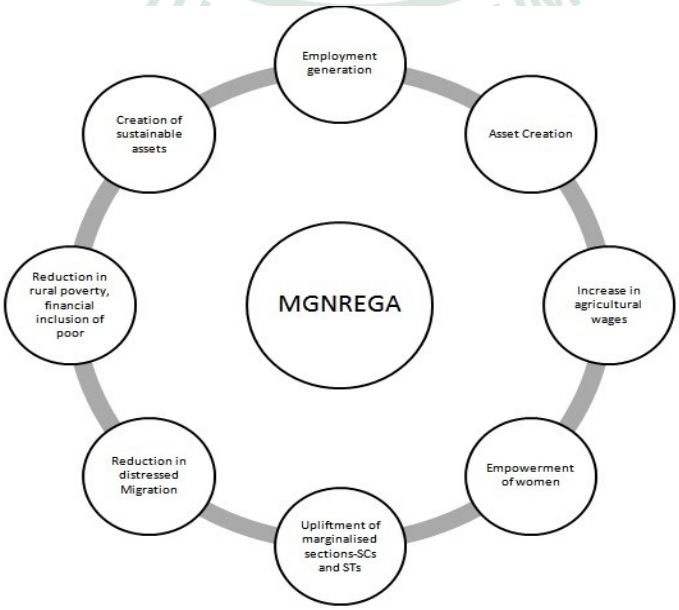
Key Features:

1. Demand driven scheme: Worker to be hired when he demands and not when the Government wants it.

2. Gram Panchayat is mandated to provide employment with 15 days of work application, failing which worker is entitled to unemployment allowance.
3. Payment of wages within 15 days of competition of work, failing which worker is entitled to delay compensation of 0.05%/ day of wages earned.
4. Minimum one-third of the workers should be women.
5. Wages to be paid according to the Minimum Wages Act 1948 for agricultural labourers in the State.
6. Social Audit to be done by Gram Sabha.
7. **Recent developments:**
    1. Direct Benefit Transfer: Wages are electronically transferred to the worker's bank/ post office accounts through National Electronic Fund Management System (NEFMS)
    2. Geo MGNREGA: Geo-tagging all assets created under MGNREGA

Achievements:

1. MGNREGA has been a powerful instrument for empowerment of poor women through its effect on livelihood security and social protection. In FY 2015-16 out of the total employment through MGNREGA, 56% was generated for women.
2. Reduced distressed rural to urban migration and also seasonal migration by providing work closer to home and decent working conditions.



3. Has helped in the upliftment of SCs and STs through creation of livelihood opportunities. The percentage of Scheduled Caste workers has consistently been about 20% and Scheduled Tribe workers has been about 17%
4. Sustainable assets have been created linked to conservation of natural resources and has helped in overall development of Gram Panchayats.
5. Payment of wages through bank accounts/ post office has led to large financial inclusion of the poor.
6. The average daily wage rate of farm workers has grown sharply after MGNREGA

Issues:

1. **Insufficient budget allocation:**
    1. Increase in nominal budget but actual budget (after adjusting inflation) decreased over years
    2. Though allocated 55,000 crore, the actual value of budget allocation of 2018-19 is much lower than that of 2010-11
    3. In 2018, ₹7,000 crore has been allocated from "Extra Budgetary Resources (EBR)". Annual outlay remains same as 2017-18
2. **Shift to Supply-driven programme:**
    1. State submits Labour Budget to the Centre- A labour budget contains anticipated labour demand for the next financial year.
    2. The Centre through the arbitrary "Approved Labour Budget" has reduced the number of days of work and put a cap on funds through the National Electronic Fund Management System
    3. According to Ne-FMS guidelines, states won't be allowed to generate employment above the limits agreed by Approved labour Budget
    4. This has made the programme supply-driven
3. **Poor wages rate:**
    1. Stagnation of wage rate due to delinking MGNREGA wage rates from Minimum Wages Act, 1948
    2. MGNREGA wages are lower than minimum wages in most states
    3. This could push marginalized section to take up vulnerable and hazardous jobs.

4. Delay in wage payments:

1. Delayed payments increased from 39% in 2012-13 to 73% in 2014-15
2. 32% of payments in first 2 quarters of FY17-18 were on time
3. As of 2016-17, total amount of wage pending is ₹11000 crore
4. In current financial year, 25% of Funds Transfer Order (FTOs) pertaining to wage payment from January to April is pending to be processed by Centre
5. Non-payment of unemployment allowance
6. Partial compensation for delayed payment
7. Distortion in labour market
8. Fabrication of job cards: Payments to fictitious workers

Measures to be taken:

1. Proper and timely allocation of funds
2. Ensuring minimum wages for workers
3. Effective monitoring of projects
4. Ensuring employment to rural households as per demand for work.
5. Proper job card verification
6. Ensuring efficient grievance redressal mechanism

UNEMPLOYMENT

Unemployment is a situation in which a person is actively searching for employment but unable to find work at the prevailing wage rate. It is a tragic waste of manpower and under 14OC using size of human resources.

Number of unemployed= labour force-workforce

Measurement of Unemployment in India

National Sample Survey Office (NSSO), an organization under Ministry of Statistics and Programme Implementation (MoSPI) measures unemployment in India on following approaches:

1. Usual Status Approach: This approach estimates only those persons as unemployed who had no gainful work for a major time during the 365 days preceding the date of survey.

2.Weekly Status Approach: This approach records only those persons as unemployed who did not have gainful work even for an hour on any day of the week preceding the date of survey.

3.Daily Status Approach: Under this approach, unemployment status of a person is measured for each day in a reference week. A person having no gainful work even for 1 hour in a day is described as unemployed for that day.

Unemployment status (based on findings from CMIE's latest data):

1. The unemployment rate in India rose to 7.2 percent in February 2019, the highest since September 2016, and up from 5.9 percent in February 2018.
2. The total number of employed persons in February 2019 is estimated at 400 million against 406 million in the year-ago period and 407.5 million employed in February 2017.
3. The labour participation rate fell from 43.2% in January 2019 to 42.7% in February 2019.

Causes of Unemployment

1. Large population.
2. Low or no educational levels and vocational skills of working population.
3. Inadequate state support, legal complexities and low infrastructural, financial and market linkages to small/ cottage industries or small businesses, making such enterprises unviable with cost and compliance overruns.
4. Huge workforce associated with informal sector due to lack of required education/ skills, which is not captured in any employment data. For ex: domestic helpers, construction workers etc.
5. The syllabus taught in schools and colleges, being not as per the current requirements of the industries. This is the main cause of structural unemployment.
6. Inadequate growth of infrastructure and low investments in manufacturing sector, hence restricting employment potential of secondary sector**.**

Types of unemployment:

In developing countries like India, the nature of unemployment is different from that of developed countries.

1. Cyclical Unemployment

This unemployment exists during the downturn phase of trade cycle in the economy. In a business cycle during the period of recession and depression, income and output fall leading to widespread unemployment. It is caused by deficiency of effective demand. Cyclical unemployment can be cured by public investment or expansionary monetary policy.

2. Seasonal Unemployment

This type of unemployment occurs during certain seasons of the year. In agriculture and agro-based industries like sugar, production activities are carried out only in some seasons. These industries offer employment only during that season in a year. Therefore, people may remain unemployed during the off season. Seasonal unemployment happens from demand side also; for example, ice cream industry, holiday resorts etc.

3. Frictional Unemployment (Temporary Unemployment)

Frictional unemployment arises due to imbalance between supply of labour and demand for labour. This is because of immobility of labour, lack of necessary skills, breakdown of machinery, shortage of raw materials etc. The persons who lose jobs and in search of jobs are also included under frictional unemployment.

4. Educated Unemployment

Sometimes educated people are underemployed or unemployed when qualification does not match the job. Faulty education system, lack of employable skills, mass student turnout and preference for white collar jobs are highly responsible for educated unemployment in India.

5. Technical Unemployment

Modern technology being capital intensive requires less labourers and contributes to technological unemployment. Now a days, invention and innovations lead to the adoption of new techniques there by the existing workers are retrenched. Labour saving devices are responsible for technological unemployment.

6. Structural Unemployment

Structural unemployment is due to drastic change in the structure of the society. Lack of demand for the product or shift in demand to other products cause this type of unemployment. For example, rise in demand for mobile phones has adversely affected

the demand for cameras, tape recorders etc. So, this kind of unemployment results from massive and deep-rooted changes in economic structure.

7. Disguised Unemployment

Disguised unemployment occurs when more people are there than what is actually required. Even if some workers are withdrawn, production does not suffer. This type of unemployment is found in agriculture. A person is said to be disguisedly by unemployed if his contribution to output is less than what he can produce by working for normal hours per day. In this situation, marginal productivity of labour is zero or less or negative.

Impact

1. The problem of unemployment gives rise to the problem of poverty.
2. Young people after a long time of unemployment indulge in illegal and wrong activities for earning money. This also leads to increase in crime in the country.
3. Unemployed persons can easily be enticed by antisocial elements. This makes them lose faith in democratic values of the country.
4. It is often seen that unemployed people end up getting addicted to drugs and alcohol or attempts suicide, leading losses to the human resources of the country.
5. It also affects economy of the country as the workforce that could have been gainfully employed to generate resources actually gets dependent on the remaining working population, thus escalating socio-economic costs for the State. For instance, 1 percent increase in unemployment reduces the GDP by 2 percent.

Measures to Solve Unemployment Problem in India

1. A close reading of the Five-Year Plans reveals that in every Five- Years Plan,
2. employment expansion has been emphasized as an objective of development. Despite all the plan pronouncements, the backlog of unemployment has increased. This is because each Plan was not even able to absorb the new entrants in the labour force.
3. The following measures have been suggested for solving the unemployment problem in our country:

1. A Change in the pattern of investment

The planning process in the initial stages gave importance to an investment allocation pattern with a high capital-labour ratio. Therefore, a shift in the emphasis to mass consumer goods industries would generate more employment to absorb the unemployed labour force. Moreover, increase in the supply of such goods may help arrest the rising price-level and increase the economic welfare of the people.

2. Encouragement to small enterprises as against big enterprises

The employment objective and the output objective can be achieved, if greater investment is directed to small enterprises rather than to large enterprises. Now that the Government wants to undertake decentralised development with emphasis on small-scale enterprises, it would be desirable to reorient credit, licensing, raw material allocation and other policies in such a manner that both employment and output are enlarged simultaneously.

3. Problem of Choice of technique

It would be better to switch over to intermediate technologies till the process of industrialisation gets such a powerful momentum that the new entrants to labour force can be absorbed. During the period of rapid growth in the labour force, it would be advisable to adjust the choice of techniques consistent with the employment objective. Intermediate technology would be more suited to Indian conditions.

4. Encouragement of New Growth Centres in Small Towns and Rural Areas

Experience of planning has revealed that the overcrowded metropolitan centres have received a large share of investment. Therefore, the smaller towns should be developed as new growth centres for the future. The establishment of small industrial complexes can increase employment opportunities and provide flexibility to the economy.

5. Subsidies on the Basis of Employment

All schemes of subsidies and incentives to large and small industries have helped output maximisation and greater use of capital resources. The pattern of subsides should be altered. Creation of more employment should be treated as the basis for the grant of subsides and incentives. This will shift the entire structure of government support from the large-scale producer to the small-scale producer as this is more

consistent with the objective of employment generation and achieving equality and social justice.

6. Reorientation of Educational Policy

One great defect of our educational system is that it leads one to take up the professional degree only. The high degree of unemployment among the educated signifies the urgent need to reorient our educational system to greater employment opportunities. Education system should be more diversified.

7. Underemployment in Rural Areas

N.S.S. data have revealed the existence of a high degree of underemployment in India. The total number of underemployed persons available and willing to take up additional work is estimated to be more than two crores. It is necessary to organize the Rural works Programme. Failure of implementation of Rural Works Programme underlines the relatively low importance given to the rural sector to provide additional employment to millions of landless labourers and small and marginal farmers.

EMPLOYMENT GENERATION SCHEMES

1. Pradhan Mantri Employment Generation programme

Ministry: Ministry of Micro, Small and Medium Enterprises

Objective:

Prime Minister's Employment Generation Programme (PMEGP) is a credit-linked subsidy programme aimed at generating self-employment opportunities through establishment of micro-enterprises in the non-farm sector by helping traditional artisans and unemployed youth.

Year of Launch:

The Scheme was launched during 2008-09.

Implementation:

Khadi and Village Industries Commission (KVIC) is nodal implementation agency at national level. At State and district level, State offices of KVIC, Khadi and Village Industries Boards (KVIBs) and District Industry Centres (DIC) are the implementing agencies.

Qualification:

1. Any individual above 18 years of age is eligible.
2. For setting up of projects costing above Rs.10 lakh in the manufacturing sector and above ₹5 lakh in the business /service sector,
3. the beneficiaries should possess at least VIII standard pass educational qualification.
4. General category beneficiaries can avail of margin money subsidy of 25 % of the project cost in rural areas and 15% in urban areas.
5. For beneficiaries belonging to special categories such as scheduled caste/scheduled tribe/OBC /minorities/women, ex-serviceman, physically handicapped, NER, Hill and Border areas etc.
6. the margin money subsidy is 35% in rural areas and 25% in urban areas.

There is no income ceiling for setting up the project.

2. Pradhan Mantri Rozgar Protosahan Yojana

The scheme "Pradhan Mantri Rozgar Protosahan Yojana" (PMRPY) was announced in the Budget for 2016-17.

Implementation

The scheme is being implemented by the Ministry of Labour and Employment.

Aim and objective

The objective of the scheme is to promote employment generation. Under the scheme employers would be provided an incentive for enhancing employment by reimbursement of the 8.33% EPS contribution made by the employer in respect of new employment. The PMRPY scheme is targeted for workers earning wages up to ₹ 15,000/- per month.

Significance of the scheme:

PMRPY has a dual benefit –

1. The employer is focusing used for increasing the employee base in the establishment through payment of EPF contribution of 12% of wage, which otherwise would have been borne by the employer.
2. A large number of workers find jobs in such establishments.

A direct benefit of the scheme is that these workers have access to social security benefit through Provident Fund, Pension and Death Linked Insurance.

2. Scheme for Higher Education Youth in Apprenticeship and Skills (SHREYAS)

Aim:

To enhance the employability of Indian youth by providing 'on the job work exposure' and earning of stipend.

Target:

In all the tracks together, it is proposed to cover 50 lakh students by 2022.

Implementation:

SHREYAS is a programme basket comprising the initiatives of three Central Ministries, namely the Ministry of Human Resource Development, Ministry of Skill Development & Entrepreneurship and the Ministry of Labour & Employment viz the National Apprenticeship Promotion Scheme (NAPS), the National Career Service (NCS)and introduction of BA/BSc/B.Com (Professional) courses in the higher educational institutions

Following are the objectives of SHREYAS:

1. To improve employability of students by introducing employment relevance into the learning process of the higher education system.
2. To forge a close functional link between education and industry/service sectors on a sustainable basis.
3. To provide skills which are in demand, to the students in a dynamic manner.
4. To establish an 'earn while you learn' system into higher education.
5. To help business/industry in securing good quality manpower.
6. To link student community with employment facilitating efforts of the Government.

Operation of the Scheme:

1. The primary scheme will be operated in conjunction with National Apprenticeship Promotion Scheme (NAPS) which provides for placing of apprentices upto 10% of the total work force in every business/industry.
2. The scheme will be implemented by the Sector Skill Councils (SSCs), initially the Banking Finance Insurance Services (BFSI), Retail, Health care, Telecom, Logistics, Media, Management services, ITeS and Apparel. More sectors would be added over time with emerging apprenticeship demand and curriculum adjustments.

Significance of the scheme:

Education with skills is the need of the hour and the SHREYAS will be a major effort in this direction to make degree students more skilled, capable, employable and aligned to the needs of our economy so that they contribute to country's progress and also obtain gainful employment.

3.The Pradhan Mantri Mudra Yojana (PMMY) Scheme:

The PMMY Scheme was launched in April, 2015.Under ministry of MSME

Objective

1. To refinance collateral-free loans given by the lenders to small borrowers.
2. The scheme, which has a corpus of ₹20,000 crore, can lend between ₹50,000 and ₹10 lakh to small entrepreneurs.
3. Banks and MFIs can draw refinance under the MUDRA Scheme after becoming member-lending institutions of MUDRA.
4. Mudra Loans are available for non-agricultural activities upto ₹10 lakh and activities allied to agriculture such as Dairy, Poultry, Bee Keeping etc, are also covered.
5. Mudra's unique features include a Mudra Card which permits access to Working Capital through ATMs and Card Machines.

There are three types of loans under PMMY:

1. Shishu (up to ₹50,000).
2. Kishore (from ₹50,001 to ₹5 lakh).
3. Tarun (from ₹500,001 to ₹10,00,000).

Objectives of the scheme:

Fund the unfunded: Those who have a business plan to generate income from a non-farm activity like manufacturing, processing, trading or service sector but don't have enough capital to invest can take loans up to ₹10 lakh.

Micro finance institutions (MFI) monitoring and regulation: With the help of MUDRA bank, the network of microfinance institutions will be monitored. New registration will also be done.

Promote financial inclusion: With the aim to reach Last mile credit delivery to micro businesses taking help of technology solutions, it further adds to the vision of financial inclusion.

Reduce jobless economic growth: Providing micro enterprises with credit facility will help generate employment sources and an overall increase in GDP.

Integration of Informal economy into Formal sector: It will help India also grow its tax base as incomes from the informal sector are non-taxed.

4. Deen Dayal Upadhyaya Grameen Kaushalya Yojana :

The Vision of DDU-GKY is to "Transform rural poor youth into an economically independent and globally relevant workforce". It aims to target youth, in the age group of 15–35 years. DDU-GKY is a part of the National Rural Livelihood Mission (NRLM), tasked with the dual objectives of adding diversity to the incomes of rural poor families and cater to the career aspirations of rural youth.

Objectives:

1. Enable Poor and Marginalized to Access Benefits.
2. Mandatory coverage of socially disadvantaged groups (SC/ST 50%; Minority 15%; Women 33%).
3. Shifting Emphasis from Training to Career Progression.
4. Post-placement support, migration support and alumni network.
5. Proactive Approach to Build Placement Partnerships.
6. Guaranteed Placement for at least 75% trained candidates.
7. Enhancing the Capacity of Implementation Partners
8. Nurturing new training service providers and developing their skills.

9. Greater emphasis on projects for poor rural youth in Jammu and Kashmir (HIMAYAT).

4. Pradhan Mantri Kaushal Vikas Yojana

Ministry: Ministry of Skill Development and Entrepreneurship

Objective: To impart skill training to youth, focusing on improved curricula, better pedagogy and trained instructors

Scheme:

1. It is a skill certification and monetary reward scheme.
2. National Skill Development Corporation (NSDC) is the implementing agency
3. The training includes soft skills, personal grooming, behavioural change et al.
4. The Skill training would be based on the National Skill Qualification Framework (NSQF) and industry led standards
5. Under the scheme, a monetary reward is given to trainees on assessment and certification by third party assessment bodies. The average monetary reward is around ₹8,000 per trainee
6. Focus on improved curricula, better pedagogy and better trained instructors
7. Besides catering to domestic skill needs, the scheme will also focus on skill training aligned to international standards for overseas employment in European and Gulf countries etc

Factual Information:

1. We have 605 million people below the age of 25
2. Scheme started in 2015
3. It will cover 24 lakh youths.

INFLATION

Inflation is taxation without legislation-Milton Friedman.

Inflation is the rate at which the general level of prices for goods and services is rising and consequently the purchasing power of currency is falling. The reason for price rise can be classified under two main heads:

1. Increase in demand
2. Reduced supply.

How it is measured?

Inflation is measured by price indexes.

1. Wholesale price index

WPI, amounts to the average change in prices of commodities at wholesale level. Published by Office of Economic Advisor (Ministry of Commerce & Industry). Measures goods only at first stage of transactions. Base year 2011-2012.697 items are covered including power, fuel and power, manufactured growth. Data released on overall monthly basis since 2012

Consumer Price Index (CPI)

CPI, indicates the average change in the prices of commodities, at the retail level. Published by Central Statistics Office (Ministry of Statistics and Programme Implementation). Measures both Goods and Services at Final stage of transaction. Base year 2011-2012. Items covered under 448(Rural Basket) 460 (Urban Basket) basket of consumer goods and services, such as transportation, food and medical care. Data released on monthly basis.

Now India inflation measured by using CPI combined.

Types of Inflation

On the basis of price rise

1. **Creeping Inflation:** Creeping inflation is slow-moving and very mild. The rise in prices will not be perceptible but spread over a long period. This type of inflation is in no way dangerous to the economy. This is also known as mild inflation or moderate inflation.
2. **Walking Inflation:** When prices rise moderately and the annual inflation rate is a single digit (3% - 9%), it is called walking or trolling inflation.
3. **Running Inflation:** When prices rise rapidly like the running of a horse at a rate of speed of 10% - 20% per annum, it is called running inflation.
4. **Galloping inflation:** Galloping inflation or hyperinflation points out to unmanageably high inflation rates that run into two or three digits. By high inflation the percentage of the same is almost 20% to 100% from an overall perspective.

On the basis of causes

1. Demand-Pull Inflation:

Demand and supply play a crucial role in deciding the inflation levels in the society at all points of time. For instance, if the demand is high for a product and supply is low, the price of the products increases.

Factors affecting demand

1. increase money supply
2. increase in disposable income
3. cheap monetary policy
4. increase in public expenditure
5. repayment of public debt.

2. Cost-Push Inflation:

When the cost of raw materials and other inputs rises inflation results. Increase in wages paid to labour also leads to inflation.

Factors affecting supply

1. shortage of factors of production
2. industrial disputes
3. natural calamities
4. artificial scarcities
5. increase in exports on the basis of inducement

1. **Currency inflation:** The excess supply of money in circulation causes rise in price level.
2. **Credit inflation:** When banks are liberal in lending credit, the money supply increases and thereby rising prices.
3. **Deficit induced inflation:** The deficit budget is generally financed through printing of currency by the Central Bank. As a result, prices rise.
4. **Profit induced inflation:** When the firms aim at higher profit, they fix the price with higher margin. So, prices go up.
5. **Scarcity induced inflation:** Scarcity of goods happens either due to fall in production (e.g. Farm goods) or due to hoarding and black marketing. This also pushes up the price. (This has happened is Venezula in the year 2018)

6. **Tax induced inflation:** Increase in indirect taxes like excise duty, custom duty and sales tax may lead to rise in price (e.g. Petrol and diesel). This is also called taxflation.

Causes of Inflation

The main causes of inflation in India are as follows:

1. Increase in Money Supply:

Inflation is caused by an increase in the supply of money which leads to increase in aggregate demand. The higher the growth rate of the nominal money supply, the higher is the rate of inflation.

2. Increase in Disposable Income:

When the disposable income of the people increases, it raises their demand for goods and services. Disposable income may increase with the rise in national income or reduction in taxes or reduction in the saving of the people.

3. Increase in Public Expenditure:

Government activities have been expanding due to developmental activities and social welfare programmes. This is also a cause for price rise.

4. Increase in Consumer Spending:

The demand for goods and services increases when they are given credit to buy goods on hire-purchase and installment basis.

5. Cheap Money Policy:

Cheap money policy or the policy of credit expansion also leads to increase in the money supply which raises the demand for goods and services in the economy.

6. Deficit Financing:

In order to meet its mounting expenses, the government resorts to deficit financing by borrowing from the public and even by printing more notes. This raises aggregate demand in relation to aggregate supply, thereby leading to inflationary rise in prices.

7. Black Assets, Activities and Money:

The existence of black money and black assets due to corruption, tax evasion etc., increase the aggregate demand. People spend such money, lavishly. Black marketing and hoarding reduce the supply of goods. These trends tend to raise the price level further.

8. Repayment of Public Debt:

Whenever the government repays its past internal debt to the public, it leads to increase in the money supply with the public. This tends to raise the aggregate demand for goods and services.

9. Increase in Exports:

hen exports are encouraged, domestic supply of goods decline. So, prices rise.

Effects of Inflation

Inflation impact on all economic units.it is favourable impact on some and unfavourable impact on some others.

The effects of inflation can be classified into two heads:

1. Effects on Production

When the inflation is very moderate, it acts as an incentive to traders and producers. This is particularly prior to full employment when resources are not fully utilized. The profit due to rising prices encourages and induces business class to increase their investments in production, leading to generation of employment and income.

1. Hyper-inflation results in a serious depreciation of the value of money and it discourages savings on the part of the public.
2. When the value of money undergoes considerable depreciation, this may even drain out the foreign capital already invested in the country.
3. With reduced capital accumulation, the investment will suffer a serious set-back which may have an adverse effect on the volume of production in the country. This may discourage entrepreneurs and business men from taking business risk.
4. Inflation also leads to hoarding of essential goods both by the traders as well as the consumers and thus leading to still higher inflation rate.
5. Inflation encourages investment in speculative activities rather than productive purposes.

2. Effects on Distribution:

1. Redistribution of income and wealth

Redistributes the income from one group to another.it results loss of one group income and gain of other groups.

a. Debtors and Creditors:

During inflation, debtors are the gainers while the creditors are losers. The reason is that the debtors had borrowed when the purchasing power of money

was high and now repay the loans when the purchasing power of money is low due to rising prices.

b. Fixed-income Groups vs flexible income groups:

The fixed income groups are the worst hit during inflation because their incomes being fixed do not bear any relationship with the rising cost of living. Examples are wage, salary, pension, interest, rent etc. flexible income group like sellers self-employed, and employers of private concerns whose salary is adjusted according to inflation get affected.

c. Entrepreneurs:

Inflation is the boon to the entrepreneurs whether they are manufacturers, traders, merchants or businessmen, because it serves as a tonic for business enterprise. They experience windfall gains as the prices of their inventories (stocks) suddenly go up.

d. Investors:

The investors, who generally invest in fixed interest yielding bonds and securities have much to lose during inflation. On the contrary those who invest in shares stand to gain by rich dividends and appreciation in value of shares.

e. Producers vs consumers

Producer stand to gain and their profit will increase as a result of inflation. Consumers stands to lose because the purchasing power of money held by consumer falls.

Other effects

1. Balance of payments
2. exchange rate and social effects.

Measures to Control Inflation

Three measures to prevent and control of inflation.

1. Monetary measures.
2. Fiscal measures.
3. Other measures.

1. Monetary Measures:

These measures are adopted by the Central Bank of the country. They are

1. Increase in Bank rate
2. Sale of Government Securities in the Open Market
3. Higher Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR)

4. Consumer Credit Control and
5. Higher margin requirements
6. Higher Repo Rate and Reverse Repo Rate.

2. Fiscal Measures:

Fiscal policy is now recognized as an important instrument to tackle an inflationary situation. The major anti-inflationary fiscal measures are

1. Reduction of Government Expenditure,
2. Public Borrowing and Enhancing taxation.
3. increases in direct taxes and decreases in indirect taxes.

3. Trade Measures

Export and import of goods and services from foreign countries with nill or minimum import duties for shortage of goods in domestic countries. The higher supply helps to bring down the price.

4. Administrative measures:

a. Rationing wage policy

Helps to keep the cost of production under control

b. Price control

Direct price control by means of fixing maximum price limits through administered price system and subsidy from the government.

c. Rationing

Rationing of goods in short supply keeps the demand under control so that price comes under control.

5. Other Measures:

These measures can be divided broadly into short-term and long-term measures

1. **Short-term measures**

   It can be in regard to public distribution of scarce essential commodities through fair price shops (Rationing). In India whenever shortage of basic goods has been felt, the government has resorted to import so that inflation may not get triggered.

2. **Long-term measures**

It will require accelerating economic growth especially of the wage goods which have a direct bearing on the general price and the cost of living. Some restrictions on present consumption may help in improving saving and investment which may be necessary for accelerating the rate of economic growth in the long run.

INFLATION TARGETING

1. Inflation targeting is basically a monetary policy wherein the central bank of a country (RBI in India) has a specific target inflation rate for the medium-term and publicizes this rate.
2. After declaration of target, the central bank attempts to steer actual inflation towards the target through the use of interest rate changes and other monetary tools.
3. Primary objective of monetary policy is to maintain price stability
4. To maintain price stability, inflation needs to be controlled.

Tools to control Inflation:

1. Interest rates

1. Hike interest rates when inflation goes above the target. Increasing interest rates generally slows the economy to curb inflation.
2. Decrease the interest rates when inflation below the target. Reducing the interest rates will accelerate the economy, thus, augmenting inflation.

2. Changing tax and spending levels in order to influence the level of Aggregate Demand.

3. Inflation Targeting Mechanism

1. **Authority:** Inflation target to be set by the Government of India, in consultation with the Reserve Bank, once every five years which is authorized by the amended RBI Act.
2. **Current Inflation Target**: The Central Government has notified 4 percent Consumer Price Index (CPI) inflation as the target for the period from August 5, 2016, to March 31, 2021, with the upper and lower tolerant limits of 6% and 2%

3. RBI to publish the operating target and establish an operating procedure of monetary policy to achieve the target. any change in the target and procedure in response to evolve macro financial conditions shall also be published.
4. Every six months the RBI to publish a document
   - source of inflation
   - forecasts inflation for the period between 6 to 18 months from the date of publication of the document.
5. Any disputes regarding interpretation and implementation of agreement to resolved between governor RBI, government.

Advantages

1. Discouraging consumers from borrowing
2. Reduce consumer spending
3. Sustain price stability
4. Support growth
5. Recognise the short run trade-offs between inflation and growth.

OTHER TERMS

Philips curve:

The Phillips curve states that inflation and unemployment have an inverse relationship. Higher inflation is associated with lower unemployment and vice versa. The Phillips curve was a concept used to guide macroeconomic policy in the 20th century, but was called into question by the stagflation of the 1970's.

Disinflation

Disinflation is the slowing down the rate of inflation by controlling the amount of credit (bank loan, hire purchase) available to consumers without causing more unemployment. Disinflation may be defined as the process of reversing inflation without creating unemployment or reducing output in the economy.

Deflation:

The essential feature of deflation is falling prices, reduced money supply and unemployment. Though falling prices are desirable at the time of inflation, such a fall should not lead to the fall in the level of production and employment. But if prices fall from the level of full employment both income and employment will be adversely affected.

Stagflation: Stagflation is a combination of stagnant economic growth, high unemployment and high inflation.

Inflationary gap

The spending of government above the national income called inflationary gap. This is intended to increase the production ultimately increase prices up due to extra-creation of money during the process.

Deflationary gap

The shortfall in total spending of the government (i.e. fiscal surplus) over the national income creates deflationary gap in the economy. This is a situation of producing more than the demand and the economy usually heads for a general slowdown in the level of demand. This is also known as the output gap.

Inflation Spiral

Wage-price spiral is used to explain the cause and effect relationship between rising wages and rising prices. When wages press prices up and prices pull wages up.

The inflation Tax

Inflation erodes the value of money and the people who hold currency suffer in this process. As the governments have authority of printing currency and circulating it into the economy this act functions as an income to the governments. This is a situation of sustaining government expenditure at the cost of people's income. This looks as if inflation is working as a tax. That is how the term inflation tax is also known as seignories. It means inflation is always the level to which the government may go for deficit financing—level of deficit financing is directly reflected by the rate of inflation.

Inflation Accounting

It is popular in the area of corporate profit accounting. Basically, due to inflation the profit of firms/companies gets overstated. When a firm calculates its profits after adjusting the effects of current level of inflation, this process is known as inflation accounting. Such profits are the real profit of the firm which could be compared to a historic rate of inflation (inflation of the base year), too.

Bottleneck inflation

This inflation takes place when the supply falls drastically and the demand remains at the same level. Such situations arise due to supply-side accidents, hazards or mismanagement which is also known as 'structural inflation'. This could be put in the 'demand-pull inflation' category.

Trade Cycle

A Trade cycle refers to oscillations in aggregate economic activity particularly in employment, output, income, etc. It is due to the inherent contraction and expansion of the elements which energize the economic activities of the nation. The fluctuations are periodical, differing in intensity and changing in its coverage.

Phases of Trade Cycle

1. **Boom or Prosperity Phase:** The full employment and the movement of the economy beyond full employment is characterized as boom period. During this period, there is hectic activity in economy. Money wages rise, profits increase and interest rates go up. The demand for bank credit increases and there is all-round optimism.
2. **Recession:** The turning point from boom condition is called recession. This happens at higher rate, than what was earlier. Generally, the failure of a company or bank bursts the boom and brings a phase of recession. Investments are drastically reduced; production comes down and income and profits decline. There is panic in the stock market and business activities show signs of dullness. Liquidity preference of the people rises and money market becomes tight.
3. **Depression:** During depression the level of economic activity becomes extremely low. Firms incur losses and closure of business becomes a common feature and the ultimate result is unemployment. Interest prices, profits and wages are low. The agricultural class and wage earners would be worst hit. Banking institutions will be reluctant to advance loans to businessmen. Depression is the worst phase of the business cycle. Extreme point of depression is called as "trough", because it is a deep point in business cycle. Any person fell down in deeps could not come out from that without other's help. Similarly, an economy fell down in trough could not come out from this without external help.
4. **Recovery:** After a period of depression, recovery sets in. This is the turning point from depression to revival towards upswing. It begins with the revival of demand

for capital goods. Autonomous investments boost the activity. The demand slowly picks up and in due course the activity is directed towards the upswing with more production, profit, income, wages and employment. Recovery may be initiated by innovation or investment or by government expenditure (autonomous investment).

SUSTAINABLE ECONOMIC GROWTH

Sustainable economic growth means a rate of growth which can be maintained without creating other significant economic problems, especially for future generations. There is clearly a *trade-off* between rapid economic growth today, and growth in the future. Rapid growth today may exhaust resources and create environmental problems for future generations, including the depletion of oil and fish stocks, and global warming.

1. **Growth based on debt**
   In terms of sustainability, it may be argued that growth based on short-term public debt, rather than long term productivity, is unsustainable - hence worries about the build-up of sovereign debt in Europe.

2. **PPFs and economic growth**
   For an economy to continue to grow in the future, it needs to increase its capacity to grow. An increase in an economy's productive potential can be shown by an outward shift in the economy's PPF.

3. **Standards of living**
   Gross domestic product per capita is often regarded as the key indicator of the standards of living of the citizens of an economy, and of their economic welfare, though broader measures of economic welfare are increasingly used in preference to narrow GDP measures.

Why is stable growth an economic objective?

If growth rises significantly above or below the trend rate, the economy is experiencing excessive growth or low growth. If the rate becomes negative for at least 2 quarters in succession, the economy is in recession.

The trade (growth) cycle

Changes in real national income tend to be cyclical, but it is desirable that this cycle is stable rather than unstable. Unstable growth is popularly called 'boom' and 'bust'.

Excessive growth can lead to:

1. Goods and service inflation
2. House price inflation
3. Wage inflation
4. Labour shortages
5. Falling savings
6. Excessive credit
7. Trade difficulties

Low or negative growth can lead to:

1. Goods deflation
2. House price deflation
3. Labour surpluses
4. Unemployment
5. Excessive debt burden
6. Public sector debt

The advantages of growth

Economic growth is associated with a number of material benefits which increase economic welfare. These include the following:

Higher GDP per capita

A rise in real national income means that wages and profits are likely to rise. Assuming a stable population, this will raise GDP per capita.

More public and merit goods

A growing economy means that the public sector can receive more tax revenue and more resources can be allocated to public and merit goods, such as more roads, hospitals and schools.

Positive externalities

Public and merit goods generate considerable external benefits. More hospitals and schools mean a healthier and better-educated population, which generates other economic benefits in terms of the effectiveness of the labour force, and increases in long-term aggregate supply.

More employment

Growth is clearly likely to stimulate demand for labour, and it is likely that more people will be employed and fewer unemployed. The disadvantages of growth

Economic growth also brings some costs which reduce economic welfare, including:

Negative externalities

As production and consumption increase, negative externalities, such as pollution and congestion, are likely to arise. There is also the likelihood of increased depletion of non-renewable resources, such as fossil fuels.

Inflation and balance of payments difficulties

Too rapid a rate of growth can also lead to two significant economic problems: inflationary pressure and a balance of payments deficit, as imports rise to satisfy an increasingly active household sector.

Widening income gap

Growth can also widen the distribution of income, because some groups may benefit much more than others.

Limitations of using GDP per capita over time

There are several limitations of using GDP statistics for comparing changes in economic well-being over time, including:

Changes in the distribution of income

Average GDP per capita may rise over time, but the distribution of income may widen

Differences in hours worked

People may be working longer hours, in which case some of the growth may be through increased work, rather than through increased efficiency.

Unpaid work is not recorded

People may undertake unpaid work, and this may not be officially recorded.

Price changes

Prices are unlikely to remain constant over time, so GDP figures must be converted to constant prices and measured from a base year. This process is called 'indexing' and is required to avoid the distorting effects of inflation.

Negative externalities

The quality of life may suffer as GDP increases, although this is not included in GDP statistics. For example, more driving raises GDP, but also adds to CO2emissions, which can reduce the quality of life.

Changes in the quality of products

Over time the quality of products tends to increase, so a given amount of income per capita in 2010 may purchase a higher quality product than it did in 2000. This is certainly true with high-technology consumer products, like PCs, laptops and mobile phones.

Limitations of using GDP statistics for international comparisons

Differences in the distribution of income

Although two countries may have similar GDP per capita figures, the distribution of income in each country may be very different.

Differences in hours worked

As when comparing a country over time, the number of hours worked to generate a given level of income may be quite different.

International price differences

International prices will also vary. This is significant because an individual's purchasing power is based on price in relation to income. To solve this problem, GDP statistics can be re-calculated in terms of purchasing power.

Difficulty of assessing true values

The true value of public goods and merit goods, such as defence, education and transport infrastructure are largely unknown. This means that it is difficult to compare two countries with very different levels of spending on these goods and assets.

GENDER ISSUES

1. Gender inequality refers to unequal treatment or perceptions of individuals wholly or partly due to their gender. It arises from differences in socially constructed gender.
2. "Gender equality is a critical component of economic growth". "Women are half of the world's population and have role to play in creating a more prosperous world. But we won't succeed in playing it if the laws are holding us back." The global economy could be enriched by about $160tn (£120tn) if women earned as much as men. "It is clear that giving space to women leads to richer societies,"
3. A country with high GDP growth — but which has a problems of a wide gender gap, a large number of women committing suicides in the countryside in some of India's prosperous southern states and the growing wage difference between men and women — cannot continue its development programmes for long. The serious social problems will affect GDP growth.
4. According to the ILO, the wage gap in India is highest and women are paid 34 per cent less than men. Their real wage growth has been the lowest since 2008.

Gender issues in India:

India is still a lagging when it comes to gender equality, and changing this situation is an urgent task. Need for policy initiatives to empower women as gender disparities in India persist even against the backdrop of economic growth. Improvements in labour market prospects also have the potential to empower women. This will also lead to increase in marriage age and school enrolment of younger girls. Feminism could be a powerful tool that lets children shed stereotypes that they may hold and question those of others. A world free of prejudice and generalisation would be amenable to progress in the truest sense. The need of the hour is to introduce feminism in schools, both in terms of curriculum and practice. Sessions on principles of mutual respect and equality must be made a regular affair in schools. Inculcating gender equality in children could go a long way towards ridding society of regressive mindsets, attitudes, and behaviours. Educating Indian children from an early age about the importance of gender equality could be a meaningful start in that direction.

The reasons for gender issues in India

1. The Cultural institutions in India, particularly those of patrilineality (inheritance through male descendants) and patrilocality (married couples living with or near the husband's parents), play a crucial role in perpetuating gender inequality.
2. **Preference for sons:**

   A culturally ingrained parental preference for sons - emanating from their importance as caregivers for parents in old age - is linked to poorer consequences for daughters.
3. **Dowry system:**

   The dowry system, involving a cash or in-kind payment from the bride's family to the grooms at the time of marriage, is another institution that disempowers women. The incidence of dowry has been steadily rising over time across all region and socioeconomic classes.
4. **Patriarchal mindset:**

   Patriarchy is a social system of privilege in which men are the primary authority figures, occupying roles of political leadership, moral authority, control of prosperity and authority over women and children.
5. **Poverty and lack of education:**

   Extreme poverty and lack of education are also some of the reasons for women's low status in society. Poverty and lack of education derives countless women to work in low paying domestic service, organized prostitution or as migrant laborers.
6. **Women**
   1. PINK COLOUR JOBS: The women are mostly deemed fit for **"pink collar jobs"** only, such as teachers, nurses, receptionist, baby sitter, lecturer etc. which have been stereotyped for women. This denies them opportunities in other fields.
   2. Many women due to family pressures have to retreat from work force.
   3. Companies are interested in hiring more number of young women because it has been generally seen that the work and the family environment, marriage and maternity generally forces a married woman for resignation.
   4. Women receive lower amount of wages compared to men for the same work.

CHALLENGES:

1. Cultural values limited role as homemaker with status of mother, sister and wife
2. Partnership and industries= not considered capable enough to handle it.
3. Gender equality studied in isolation= The crime against boys and men go unreported, even this group should be studied.
4. The laws made are gender biased rather than gender neutral laws.

From International Labour Organisation's (ILO) Report, 2019:

1. 1.3 billion women were in work in 2018 as compared to 2 billion men – a less than two per cent improvement in last 27 years.
2. Women's pay is 20 per cent lower than men's, as a global average.
3. Women remain underrepresented at the top, a situation that has changed very little in the last 30 years. Less than one-third of managers are women.
4. This is despite the fact that women are likely to be better educated than their male counterparts. Education is not the main reason for lower employment rates and lower pay of women, but rather women do not receive the same dividends for education as men.
5. Motherhood Leadership Penalty: Only 25 percent of managers with children under six years of age are women. Women's share rises to 31 per cent for managers without young children.
6. In India, women make up about 10.2 percent of managers with children under the age of six and 16.3 percent with no children.

Potential Areas of Focus

1. The private sector and business community will be crucial in helping bridge the gap between skills and jobs and enable access to decent work for women.
2. Vocational and technical training, life skills and financial literacy programmes for women to help them develop marketable skills and better decision-making abilities.
3. Companies can also invest in women entrepreneurs through microfinance, and bring their goods and services into supply chains.
4. Enhancing women's access to the internet and ICT can create a market of connected women who can be linked to business opportunities.
5. Increasing representation of women in the public spheres is important.

Sector wise issues

Agriculture and womens:

1. Women as farmers, labourers and entrepreneurs are the driving force of India's farmland. According to OXFAM 2018, agriculture sector employs 80% of all economically active women in India, they comprise 33% of the agriculture labour force and 48% of the self-employed farmers. In spite of their large contribution women continue to remain invisible in the rural economy of India.
2. The agony of the women farmers needs to be heard both at the policy and implementation level. In order to make women farmers capable, access to information on advanced agricultural practices is needed. Women bear the burden of getting paid with low wages compared to men. Policy emphasis must be to recognise the work of female farmers and grant equal pay to them.
3. Lack of land rights is one of the crippling issues for women farmers. There is an urgent need to change the inheritance practices and give land rights to daughters as well. Further, to increase efficiency and promote sustainable agricultural practices, skill development training needs to be delivered to women farmers. Skill development programs will train women farmers in areas of field operations, organic farming etc.
4. Technological advancements in designing tools can play an important role in making farm equipment easy to use for women. Majority of women in the rural sector are involved in animal husbandry, hence imparting veterinary knowledge to women can result in better results.

Self help groups:

1. Self-help groups have been playing a crucial role in improving the status of women in rural villages. Such self-help groups can help women farmers by providing financial support in terms of loans and promote best agricultural practices through training. Fair support price has been the major demand of farmers all over the country. In order to provide a fair price and direct market linkages, Mahila Kisan mandis should be promoted for women farmers where they can sell their produce without any hassle.
2. According to the United Nations Food and Agricultural Organisation, if women had the same access to productive resources as men, they could increase yields

on their farms by 20-30%. If we want the agricultural sector to thrive in the country, acknowledging the contribution of women farmers becomes an absolute necessity. We need to provide them with opportunities and upgrade their skills through collective training and capacity building programs.

Questions:

1. What is poverty and types of poverty? Explain poverty estimation in India since independence.
2. What is inequality? Write about consequence of inequality and measures to reduce inequality.
3. Gives short notes on poverty alleviation programmes.
4. What is inflation and Inflation targeting? Explain the measures to control inflation.

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